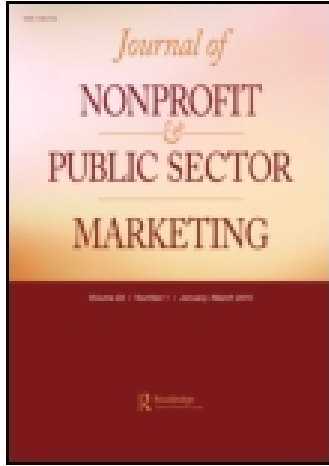




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Market Orientation and Organizational Performance in the Nonprofit Context: Exploring Both Concepts and the Relationship Between Them

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Market Orientation and Organizational Performance in the Nonprofit Context: Exploring Both Concepts and the Relationship Between Them

Lola C. Duque-Zuluaga
Ulrike Schneider

ABSTRACT. The purpose of this paper is to explore the relationship between the concepts market orientation and organizational performance for nonprofit organizations. To understand the nature of this link in the nonprofit context, the authors will discuss and elaborate on the applicability of both concepts to nonprofits. They will develop multidimensional notions of “societal orientation” and “nonprofit organizational performance,” which fit the specific operating environment of nonprofit organizations engaged in the provision of health and social services. The authors also propose a conceptual framework that relates both notions and present the main underlying propositions. They conclude by suggesting items to empirically measure both constructs and venues for future research. doi:10.1300/J054v19n02_02 [Article copies available for a fee from The Haworth Document Delivery Service: 1-800-HAWORTH.]

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INTRODUCTION

Recent studies highlight the importance of bringing the market orientation philosophy to the nonprofit context as an organizational response to current pressures and environmental changes. In the last decade the nonprofit sector has been experiencing pressures such as increasing control by the public sector and donors, competition for resources, and cutbacks in subsidies.

The market orientation philosophy constitutes a self-assessment tool to know whether the organization is doing well, and if so, in which specific aspects. This analysis takes relevance when linked to performance indicators. Understanding the relationship between market orientation and organizational performance will help organizations in focusing and advancing efforts to improve their effectiveness and efficiency. In the for-profit sector various studies have found a positive relationship between market orientation and organizational performance indicators (e.g., Jaworski and Kohli, 1993; Slater and Narver, 1994). As we can expect from studies focused on for-profit organizations, their primary concern is to unravel the relationship between market orientation and a variety of profit performance measures such as return on investment and assets, sales growth or market share. The thesis behind these kinds of studies is that the more market oriented a firm, the more profitable it is. However, neither the concept of market orientation nor profit performance may be completely applicable to the nonprofit environment. As many authors suggest, both concepts should be modified in order to account for the particular characteristics of nonprofit organizations and their specific context.

The *market orientation* philosophy centers on understanding the environmental forces affecting an organization, so that its strategy and activities can be adapted to achieve its organizational mission. The missions of nonprofits are assorted; they can be roughly summarized as relieving or benefiting society (Alvarez, Santos and Vasquez, 2002; Balabanis, Stables and Phillips, 1997). In achieving its mission(s), a nonprofit or-

ganization has to monitor the various forces acting directly on it and on its key constituent groups. Major environmental forces include, among others, (changes in) legislation, (changes in) behaviors of potential, and current collaborators or suppliers. Key constituent groups encompass users or beneficiaries and donors providing funding for the organization's activities. In the case of organizations relying heavily on unpaid labor, current and potential volunteers form another key constituency. The market orientation approach should include, at least, these components when adapted to the nonprofit sector.

The *performance measurement* in nonprofit organizations is more difficult than in the for-profit world. This can be due to the presence of various stakeholders with differing expectations (Fishel, 2004; Kendall and Knapp, 2000), the lack of alignment between mission and programs (Kaplan, 2001), the difficulty in defining organizational outputs and outcomes, or due to the fact that success and failure cannot be strictly measured in financial terms (Evans and Berman, 1993). Obtaining resources and profits could be considered as means to higher ends, which ultimately serve the organizational mission (Anheier, 2000). The major goals of nonprofits relate to quantity and quality of the goods and services delivered (Hansmann, 1987), i.e., some organizations can seek maximizing outputs (e.g., servicing the greatest possible number of needy people in a community) while others can focus on maximizing certain types of inputs rather than outputs (e.g. sheltered employment), and others may maximize revenues. Still others focus on lobbying societal issues, aiming at a maximum political impact. This variety of goals calls for a multidimensional way for measuring nonprofit organizational performance (Fishel, 2004; Herman and Renz, 1999b; Sowa, Selden and Sandfort, 2004).

Given that the meaning and the relevance of both concepts differ between nonprofit and for-profit organizations, the functional link between them could differ as well. Accordingly, the main purpose of this paper is to explore the relationship between market orientation and organizational performance for nonprofit organizations. To understand the nature of this link in the nonprofit context, we discuss the adaptation of the two concepts: "market orientation" and "organizational performance" to nonprofit organizations and propose a conceptual framework that relate them. In doing so, we focus on nonprofits providing health and social services, as defined in the International Classification of Non-Profit Organizations (UN, 2003; Annex A1). Yet variations of the framework can be used for other types of nonprofit organizations.

The article is structured as follows: the first section presents the market orientation and organizational performance concepts, while in the second section, previous research in the nonprofit sector of their relationship is reviewed. In the third section, we first present the conceptual framework that comprises the proposed constructs and the propositions relating them. We also discuss the *societal orientation* construct and its components as well as the *nonprofit organizational performance* dimensions. In this section we also suggest items for testing the framework. Finally, we present the discussion and suggest future lines of research.

MARKET ORIENTATION AND PERFORMANCE CONCEPTS

Market Orientation (MO)

There are two dominant research streams of market orientation (MO) in the literature. On one hand, Kohli and Jaworsky use a *process* approach (Sinkula, 1994). They define MO as “the organization-wide generation of market intelligence pertaining to current and future needs of customers, dissemination of intelligence horizontally and vertically within the organization, and organization-wide action or responsiveness to market intelligence” (Kohli, Jaworski and Kumar, 1993, p. 467). The authors initially treated MO as the application of the marketing concept, but later they pointed out that MO is a philosophy in which the entire organization must be involved. They developed the MARKOR scale, which consists of three main components titled: intelligence generation, intelligence dissemination and responsiveness. The customer is the philosophy’s main focus. Methodologically, the authors suggest maintaining the three correlated MO components and one general MO factor. This approach permits studying each component by using three subscales separately.

On the other hand, Narver and Slater have continued their MO research that stresses organizational *culture*. They define MO as “the organizational culture that most effectively and efficiently creates the necessary behaviors for the creation of superior value for buyers and, thus, continuous superior performance for the business” (1990, p. 21). In their view, MO is comprised of three behavioral components (customer orientation, competitor orientation and inter-functional coordination), a long-term focus, and a profitability focus. For nonprofit organizations, they suggest survival as the main focus, i.e., obtaining

revenues sufficient to cover long-run expenses or to satisfy all key constituencies in the long-run. The authors found that the three components are strongly correlated and use one single MO measure as the simple average of them.

Although both the definition and development of scales have many similarities, the Narver and Slater proposal is more related to strategy and the creation of competitive advantage. In this vein Lado, Maydeu-Olivares and Rivera (1998) proposed a scale of nine MO components that take into account market participants (customer, distributors, competitors and environment), stages of the MO process (analysis and strategic actions), and inter-functional coordination. They found one overall MO factor and another factor representing context particularities. After these studies, many authors have tried to improve the MO concept or the scale to measure it, but to little effect (Farrell, 2002).

Organizational Performance (OP)

For understanding organizational performance (OP) proposals and studies, it is useful to be aware of two different vantage points for a discussion. To begin with, there are theories or models of organizational effectiveness that guide the development of performance indicators. There are also two main units of analysis; namely the organization on one hand and programs on the other. Looking at the organization we find performance systems and frameworks that involve the entire organization and suggest how to analyze various organizational dimensions. Considering programs, the analysis is done by studying different aspects of a specific program that an organization carries on.

There are various organizational effectiveness theories; a wide classification was presented by Cameron (1986) that summarizes eight commonly used models. For specific nonprofit organizations (NPOs) performance analysis, some authors pointed out the multiple constituencies model as the most useful (Herman and Renz, 1998; Kanter and Summers, 1987). Herman and Renz distinguish this model as a modification of the goal model, recognizing that multiple stakeholders of a NPO are likely to use different criteria (rational goals) to evaluate its effectiveness. These authors note that the multiple constituencies model should be combined with a social constructionism perspective, i.e., stakeholders' judgments, agreements and negotiations about effectiveness criteria that may change over time.

At the organizational level, performance measurement systems create a way for observing, reporting and using performance measures in

decision making (Poister, 2003). Wholey (1998) singled out the following characteristics of a performance measurement system as the most important: quality of information, utility for decision making, and cost effectiveness. Among the various frameworks for OP measurement the Balanced Scorecard stands out. This framework shows a balanced presentation of the organizational financial perspective and the operational perspective (customer satisfaction, internal processes, innovation and learning activities). Kaplan (2001) adapted the Balanced Scorecard to NPOs, suggesting that its highest level should be the NPO mission; then to develop processes in order to satisfy donors and recipients or beneficiaries; and finally, a complete involvement of the entire organization is needed.

Using *theories, models, or frameworks* as guidelines, academics and practitioners have developed a range of measures for organizational and program-performance. The logical way for doing so is to (i) set the unit of analysis, (ii) identify the aspects or dimensions to be assessed in accordance with the organizational mission or strategy, and then (iii) develop measures that capture those dimensions. Some *dimensions* studied in nonprofits are objective fulfillment, job satisfaction, resource acquisition, management capacity, adaptability, and service quality, among others (Griggs, 2002; Poister, 2003; Pounder, 1999; Sowa, Selden and Sandfort, 2004). The criteria to assess performance dimensions could be objective (e.g., financial figures, number of beneficiaries, etc.) or subjective (e.g., judgments based on interviewed perceptions). Objective and subjective measures offer complementary information, which is useful to understand and evaluate performance (Selden and Sowa, 2004).

PREVIOUS RESEARCH

Although various studies suggest adapting market orientation and organizational performance to NPOs, only few attempts have been made to actually develop concepts and measures that fit the nonprofit context. As Alvarez, Santos and Vasquez (2002) note, the number of pertinent studies is significantly lower than in the for-profit context. Table 1 summarizes six studies that explicitly adapt both concepts to the nonprofit context and that offer an empirical application to NPOs. The first study is concerned with charity organizations (Balabanis, Stables and Phillips, 1997), the second one focuses on children and youth centers (Chan and Chau, 1998), studies three and four look at artistic or-

TABLE 1. Review of the Empirical Literature on MO and Organizational Performance in NPOs

Study	Market Orientation	Performance Measures	Findings
Balabanis, Stables & Phillips (1997) 200 British Charity organizations	<i>Donor-market orientation</i> (MARKOR scale) intelligence generation intelligence dissemination responsiveness (data collected in 2 points in time: 1989 and 1994)	Achievement of short-term objectives * Achievement of long-term objectives * Expenses to donor contribution ratio * Variation in ratio * Number of volunteers * Variation in volunteers *	Findings suggest a lag effect between MO and performance: Past (1989) donor-MO affects achievement of short- and long-term objectives later on (1994).
Chan & Chau (1998) Children and youth centers of Hong Kong	<i>Marketing orientation</i> (MOI index) customer philosophy integrated marketing org. adequate marketing info strategic orientation operational efficiency	Overall satisfaction (25 users in each center) * Members currently registered in the center * Financial subsidy received in 1994/95 * Number of paid staff in 1994/95 *	The MOI index is correlated to users' satisfaction and financial resources.
Voss & Voss (2000) U.S. Nonprofit theatres	<i>Strategic orientation</i> product orientation competitor orientation customer orientation inter-functional coordination	Managers' perceptions of subscription sales, single- ticket sales, and financial performance (compared to peer organizations) * * * Subscriber attendance * Single-ticket attendance * Total income * Net surplus/ deficit *	Inter-functional coordination affects all objective measures of performance. Negative impact of customer orientation on some objective and subjective measures. Other expected and unexpected relationships.
Gainer & Padanyi (2002) Canadian art and cultural organizations	<i>Market orientation</i> market oriented activities market oriented culture (activities affect culture)	Managers' perceptions of customer satisfaction, resource acquisition and reputation among sector peers (compared to five years ago) * * *	Market orientation is strongly related to the three subjective performance dimensions.
Kara, Spillan & DeShields (2004) Diverse NPOs across the U.S.	<i>Market orientation</i> (MARKOR scale) intelligence generation intelligence dissemination responsiveness	Fundraising performance factor derived from 3 measures (continuous analysis of funding, proposal to funding sources, periodic fundraising) *	Strong direct effect of market orientation on fundraising effort.
Padanyi & Gainer (2004) Social services, arts and culture, and community support sub-sectors in Canada	<i>Multiple market-orientation to clients and government funders</i> market oriented activities market oriented culture	Clients: Same factors as in Gainer & Padanyi (2002) * * * Government funders: Growth in resources * Growth in peer reputation *	Multiple market orientations co-exist independently. Most of the relationships in the two models are significant and vary across sub-sectors.

* Subjective measure; + Objective measure; MARKOR scale: Kohli, Jaworski & Kumar (1993), MOI index: Kotler (1997), Strategic Orientation: Gatignon & Xuereb (1997).

ganizations (Gainer and Padanyi, 2002; Voss and Voss, 2000), and the last two studies refer to various NPO activities (Kara, Spillan and DeShields, 2004; Padanyi and Gainer, 2004).

From Table 1 we can observe that terminology, methods, and findings vary across previous studies. In terms of concepts and methods the degree of adaptation of the MO concept is mixed. Some studies use a one-dimensional construct, others use up to four dimensions to represent market/strategic orientation, and others develop specific orientations to donors or clients. The performance indicators differ as well. The studies mainly use subjective or judgmental indicators. The performance indicator used the most has been fundraising or resource acqui-

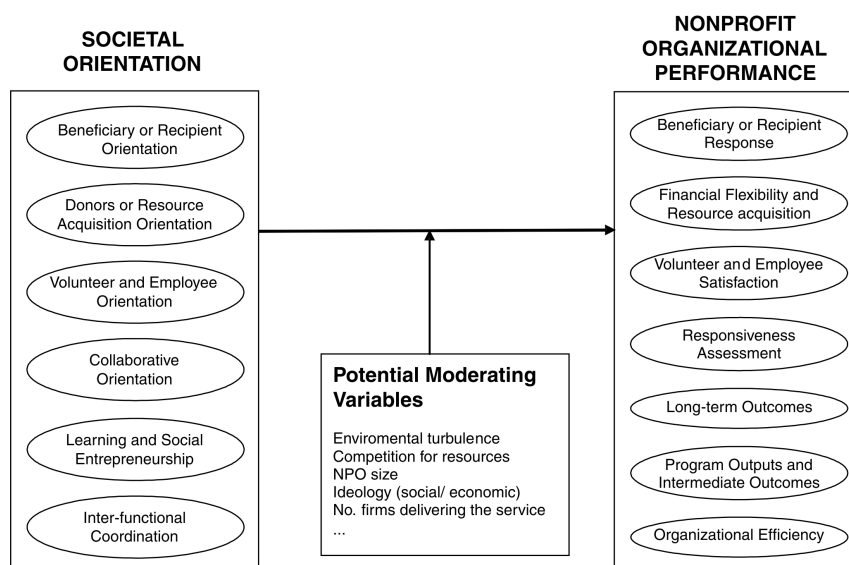
tion. When relating MO to performance measures, only the studies of Voss and Voss (2000) and Padanyi and Gainer (2004) assessed the effects of multiple dimensions/orientations on various performance indicators.

In terms of the findings, the study of Balabanis et al. (1997) pointed to a lagged relationship between market orientation and performance. In addition, there is some indication that the link between market orientation and performance varies by sub-sector. In short, the studies signal that both concepts offer an interesting background for organizational analysis and assessment. However nonprofits have unique characteristics that should be considered more systematically in order to develop a more accurate organizational analysis.

SOCIETAL ORIENTATION (SO) AND NONPROFIT ORGANIZATIONAL PERFORMANCE (NPOP): CONCEPTUAL FRAMEWORK AND CONSTRUCTS

Figure 1 illustrates the proposed conceptual framework that relates a concept of market orientation and a concept of organizational perfor-

FIGURE 1. Conceptual Framework Linking the SO and NPOP Constructs



mance, both adapted to the nonprofit context. We suggest calling these constructs *societal orientation* (SO) and *nonprofit organizational performance* (NPOP), respectively. It is important to note that the relationship between SO and NPOP can vary depending on environmental circumstances and organizational characteristics. Some potential *moderating variables* have already been suggested in the literature, among them environmental turbulence, competition for resources, number of institutions delivering the same service, ideology of the NPO (social or economic), NPO size, professionalism or formalization, funding structure (public, contracts, donations, etc.), scope of activities (national or international), and belongingness to networks.

Sargeant (2005) suggests that societal oriented organizations will achieve significantly higher performance in terms of mission achievement and efficiency than those without such an orientation. In practice, some nonprofits may be focused on just some components of societal orientation and perform better in some specific dimensions. For instance, NPOs could focus just on resource acquisition, which could lead to a growth in resources. Yet this would not necessarily ensure that the NPO is offering better services to its clients, or that it is doing extraordinarily well in motivating and retaining employees and volunteers.

Consequently, we state that *societal oriented nonprofits* are those taking care of beneficiaries, donors, volunteers and employees, searching for convenient partnerships, learning from experience, and working in a coordinated way *all at the same time*. These NPOs are expected to be more *effective and efficient in various organizational aspects*, giving such response to their various stakeholders' expectations.

We begin by discussing the societal orientation construct and its six components. Then, we examine nonprofit organizational performance and its seven dimensions as well as the main research propositions underlying our conceptual framework.

The Societal Orientation Construct

We stick to the terminology proposed by Liao, Foreman and Sargeant (2001), who point out that the adaptation of the MO philosophy to nonprofits should be called *Societal Orientation* (SO). The authors suggest this term based on Kotler and Levy's (1969) definition of marketing in the nonprofit sector (sensitively serving and satisfying human need), and note that it avoids confusion with for-profit business concepts and enhances betterment of society.

We define societal orientation as the organizational belief and culture that create and align behaviors for offering/delivering services that are worthy for society, thus fulfilling the nonprofit organizational mission (focus). As Figure 1 shows in its left hand side, this construct is composed of six behavioral components. In what follows, we explore these components and suggest their formal definitions.

Beneficiary or Recipient Orientation. Customer orientation as it is defined in the for-profit sector may not work for a number of nonprofits. Looking at nonprofit social service provision more specifically, NPO usually serve population subgroups that are disadvantaged or marginalized in economic, social or political terms. Not all beneficiaries are able to (fully) pay for services and some consumers might be forced to use a specific service (e.g., probation assistance). In addition, it is often difficult for potential beneficiaries to judge service quality and effectiveness, in which case they must either rely on the integrity of service providers or include substitute decision-makers in their service choices (Darby and Karni, 1973). Although these circumstances do not seem to depict an equitable exchange, relationships between social NPO and their beneficiaries are still covered by the marketing exchange concept (Bagozzi, 1975). The latter involves the transfer of tangible or intangible goods between social actors for symbolic and/or utilitarian reasons. This component needs to be broadly defined in the case of NPOs in the health and social services field, covering transient beneficiaries (e.g., disaster victims), permanent users (e.g., recipients of long-term care), beneficiaries serviced for free (e.g., homeless people), and paying clients. Thus, we suggest calling this component of SO *beneficiary or recipient orientation*. It refers to the identification of potential service beneficiaries, to the understanding of their situation and needs, and to the development of programs and activities that are valuable them (usually disadvantaged and marginalized groups).

Donor or Resource Acquisition Orientation. As it was pointed out before, this kind of orientation is necessary for mission achievement of NPOs. Nonprofits need to look dynamically at various entities for obtaining new resources and retaining current donors. To search for new resources or donors, a NPO must monitor legislative changes and funding sources, paying attention to new calls for applications. To retain current donors, a nonprofit needs to take care of donors' desires. The latter were summarized by Evans and Berman (1993) as accountability on the part of the organization, recognition of donor contributions, efficient operations and high success rates. According to the marketing concept of generalized exchange (Bagozzi, 1975) donors

and governments transfer money or donations to nonprofits, which in turn offer services to their beneficiaries creating exchange of values (e.g., altruistic, agonistic, behavioural change, community improvement). *Donors or resource acquisition orientation* points to the dynamic monitoring of current and potential sources of NPO financial support, namely private and government donors, and implementing activities to retain or attract financial resources.

Volunteer and Employee Orientation. Some studies have suggested taking into account employee orientation in the MO framework (Jaworski and Kohli, 1993). As Salamon and Anheier (1997) point out, one of the main features characterizing nonprofit organizations is the voluntary input in their activities and/or management. In social services and health care nonprofits' production is particularly labor-intensive (Salamon and Dewees, 2002). As a consequence, service quality depends heavily on workers' preparation and motivation. This is why we suggest considering this orientation as a relevant component of the SO construct. *Volunteer and employee orientation* refers to the strategic process of obtaining and maintaining motivated human resources, taking into account their perceptions and suggestions for NPO planning and implementation.

Collaborative Orientation. We agree with Liao, Foreman and Sargeant (2001) in that collaborative orientation should be a crucial component of the SO construct. Cooperation can be considered one of the fundamental characteristics in the nonprofit sector. Partnership can ensure continuity of operation, increase the capability of solving problems, and contribute to improving the efficiency of service delivery. Snively and Martin (2000) illustrate such need for charitable NPOs in rural environments. Guo and Acar (2005) look at collaboration of charitable nonprofits in the urban context. They found that collaborations are formalized depending on various factors such as age and size of the NPO. They also found that informal collaborations are more widespread among smaller organizations. Austin (2000) suggests that strategic alliances in the nonprofit context are more successful when the parties find an important goal to work for. *Collaborative orientation* hence implies the process of looking for convenient partnerships to cooperate in either provision of services, lobbying or resource acquisition.

Learning and Social Entrepreneurship. Two interesting concepts could be included in the SO construct. The first is social entrepreneurship, which Mort, Weerawardena, and Carnegie (2003) consider as a behavioral characteristic expressed within a social organization, reflected in four aspects: (1) the organization is driven by a social mission

of creating better social value, (2) social entrepreneurs demonstrate the ability to form balanced judgments and a coherent unity of purpose and action in the face of complexity, (3) recognition of opportunities to create better social value, and (4) social entrepreneurs' decision-making is innovative, proactive and open to risk taking. Lee (2002) explains that social entrepreneurship could apply to NPOs if it is taken in moderation, i.e., giving the right weight to profits and business management. This is why we propose to account for organizational learning capacity as well. As Slater and Narver (1995) and Mort et al. (2003) point out, entrepreneurship is possible in an organizational setting within a learning orientation. For nonprofits, the interaction between these two concepts would constitute a dynamic way of management improvement. Implicitly, it could guide the right NPO role in society and would involve an assessment of dimensions such as equity and innovation (Kendall and Knapp 2000). *Learning and social entrepreneurship* refers to the organizational capacity of consciously assessing NPO overall performance and environmental opportunities in an innovative and proactive way, and to the continuous comparison to other benchmarks in order to learn from own and other's experiences.

Inter-Functional Coordination. This component has been found to be related to other MO components in for-profit and nonprofit organizations. In the NPO sector inter-functional coordination takes relevance because of the many constituencies related to NPOs. Nonprofits need coordination in strategy and activities not only between employees inside the organization, but also between paid staff and volunteers or between the own organization and collaborating partners. In social services, major charitable NPOs serve a variety of beneficiaries with a broad array of services, which generate an additional need for coordination between different divisions of the NPO. *Inter-functional coordination* relates to the extent to which every activity is synergistically contributing to the organizational mission. It implies coherent planning, information sharing across all members of the NPO, and alignment of strategy and programs.

The Nonprofit Organizational Performance Construct and Framework Propositions

We define *Nonprofit Organizational Performance* (NPOP) as a social construction that takes into account stakeholders' expectations, organizational values and mission to define the base or criteria that will guide organizational assessment. The right hand side of Figure 1 shows

the seven dimensions we suggest NPOs should assess. Six of them refer to organizational and program effectiveness, while the last one refers to organizational efficiency.

As some authors have pointed out (e.g., Cameron, 1986; Herman and Renz, 1999b; Kanter and Summers, 1987), the criteria for each dimension must be adapted to the specific NPO context and to the stakeholders' agreement on desirable results. We will briefly discuss each dimension and also present the main propositions that relate these dimensions to the societal orientation construct.

Beneficiary or Recipient Response. Customer satisfaction has become a very important measure of service delivery in the for-profit sector. It explains not only OP but also customers' repurchase intentions and loyalty (Oliver, 1997). In the nonprofit sector many authors suggest evaluating customer satisfaction as a key dimension of NPOP. As we discussed before, sometimes clients of NPOs offering social and health services are not able to judge service quality and at times they only realize service benefits much later. This does not mean, however, that social services can not be assessed from the users' point of view, but that this evaluation should be made carefully, and might involve substitute decision makers. We prefer calling this performance dimension *beneficiary or recipient response*, which could be assessed with different measures such as satisfaction, attendance, participation, improvement reported by a user's supervisor, among others.

P1: *Beneficiary or recipient response* will be strongly affected by the NPO *beneficiary or recipient orientation*.

P2: The remaining five *societal orientation components* will be positive related to *beneficiary or recipient response*.

Financial Flexibility and Resource Acquisition. The financial performance dimension has received much attention in NPO studies. In fact, some studies focus only on its measurement, explaining that this is the most important goal pursued by NPOs, or because it is easy to be captured. According to Cameron (1986), performance indicators must be appropriate to their particular context. Thus, depending on the NPO activity or financial structure, nonprofits might want to monitor resource acquisition (e.g., fundraising or the monetary value of volunteering), financial health, or stability. Tuckman and Chang (1991) proposed studying financial vulnerability, or conversely, financial flexibility to respond to financial shocks. According to these authors, a financially

flexible NPO is one with access to equity balance (assets higher than liabilities), diverse revenue sources, administrative costs that could be cut without affecting program administration, and positive operating margins. Hager (2001) found that although those measures do not apply to all NPOs, they are good predictors of their survival or closure. Trying to encompass various measures, we call this dimension *financial flexibility and resource acquisition*.

P3: The greater the *donors or resource acquisition orientation*, the higher the NPO *financial flexibility and resource acquisition*.

P4: The other five *societal orientation components* will be positive related to *financial flexibility and resource acquisition*.

Job Satisfaction of Volunteers and Employees. This dimension is crucial for various NPOs, and even more so when they deal with health and social services. The effectiveness of these services depends critically on the interaction between service professionals and the client, as well as on the motivation of volunteers and employees. Volunteers are highly driven by intrinsic values, personal recognition and realization, social interaction, sense of debt or obligation, and altruism (Besley and Ghatak, 2003; Mitchell and Yates, 1996; Varner, 1983). However, although employees can be motivated for the NPO mission, they also value monetary compensation to remain working for the organization (Brown and Yoshioka, 2003). In a cross-country study, Benz (2005) compared employees' satisfaction in the for-profit and nonprofit sector. The author found evidence that nonprofit workers obtain a particular satisfaction from their jobs, not given by monetary compensation or individual heterogeneity. This satisfaction seems to be derived from contributing to societal goals, and from specific NPO working conditions. *Job satisfaction* in the nonprofit sector could be assessed as the employees' identification with the organization and its mission, full participation in activities, low absenteeism and fluctuation; in the case of volunteers, the willingness to collaborate in the future may be another key measure.

P5: *Volunteers and employee satisfaction* will be directly affected by the NPO *orientation towards volunteers and employees*.

P6: The remaining five *societal orientation components* will be positive related to *volunteers and employees satisfaction*.

Responsiveness Assessment. According to Herman and Renz (1999a, 1999b) it is very appropriate to use a measure of responsiveness as an indicator of organizational effectiveness. The authors based this suggestion on a panel study where three different stakeholders (board, donors and funders) were asked about their perceptions of organizational effectiveness. The ratings displayed significant differences between the three groups. However, when it came to assessing organizational responsiveness, the ratings were very similar. The instrument used, developed by Tsui (1984), asked respondents about how well the NPO had been doing on whatever was important for them. Jaworski and Kohli (1993) treated responsiveness as a component of MO, namely as action taken to respond to market needs. In the nonprofit sector it would take a similar meaning, but Herman and Renz (1999a) refer to it as the stakeholders' satisfaction with organizational responsiveness. In order to avoid confusion we call this performance dimension *responsiveness assessment*. It could encompass the general perception of how the NPO adapts to environmental changes and stakeholders' needs and expectations.

P7: The higher the *societal orientation*, the higher the *responsiveness assessment*. In other words, the six *societal orientation components* will be positive related to *responsiveness assessment*.

Long-Term Outcomes. It is clear from the literature that there are different types of objectives achievement. In line with Kanter and Summers (1987), we propose two different dimensions of achievement, one related to goal achievement and the second linked to program effectiveness. The *long-term outcomes* are supposed to contribute to the NPO mission, whereas outputs or short-term outcomes are more relevant to program assessment (see *Program Outputs and Intermediate Outcomes*). Both dimensions are, of course, linked, since programs need to be aligned with the organizational mission. In order to measure if the NPO mission is being achieved, and if strategies and activities are contributing to it, we suggest considering long-term outcomes as NPO survival, percentage of main goals achieved last year, results in terms of social benefit or improvement, etc.

P8: *Societal orientation* will affect the NPO *long-term outcomes*. Said differently, all *societal orientation components* will be positively related to this performance dimension (*long-term outcomes*).

Program Outputs and Intermediate Outcomes. This dimension, which is linked to the previous one, refers to the assessment of a specific program. It could measure different kinds of outputs and intermediate outcomes related to the program. In measuring *program outputs and intermediate outcomes*, the number and variety of programs developed for a NPO need to be taken into account. This dimension should consider different facets of programs. The program logic model (Poister, 2003) and the field-by-field list of output-measures in the United Nation's Handbook on Nonprofit Institutions (UN, 2003; p. 79) constitute a helpful tool for developing these measures. Measures of program performance need to be aligned with long-term outcomes in order to assess if a NPO is doing well where it is supposed to do so. Some NPOs might be doing well in terms of program performance, but less well in long-term performance, which constitutes a strategic gap.

P9: The higher the *societal orientation*, the better the *program outputs and intermediate outcomes* are achieved. In other words, the six *societal orientation components* will relate positively to this dimension (*program outputs and intermediate outcomes*).

Organizational Efficiency. Torres and Pina (2003) point out that for obtaining complete performance information of NPOs it is necessary to develop measures that relate effort (inputs or financial and non-financial resources) to accomplishments (outputs and outcomes). Again, the dimension *organizational efficiency* should cover different organizational aspects. It can contain a complete combination of ratios that facilitate obtaining a proxy of internal operations quality and good management of resources. Ritchie and Kolodinsky (2003) identified three NPO financial categories of measures that can be used in efficiency measurement: fundraising efficiency (total public support/fundraising expenses; total revenue/fundraising expenses), public support (total contributions/total revenue; direct public support/total assets), and fiscal performance (total revenue/total expenses; total contributions/total expenses). Non-financial measures could include: administration/costs ratio, variation rates in some categories like volunteers, time spent in achieving a unit of output, etc.

P10: *Societal orientation* components will be positive related to *NPO efficiency*.

Suggestions to Operationalize the SO and NPOP Constructs

Table 2 provides some suggestions of measures for the societal orientation and nonprofit organizational performance constructs. Various items have already been tested as indicated in our synopsis. The remaining items in Table 2 have been introduced in the course of outlining our concepts.

TABLE 2. Possible Items to Measure SO and NPOP Constructs

SOCIETAL ORIENTATION	
Beneficiary or Recipient Orientation	• We constantly monitor our level of commitment and orientation to serving users' needs (Gatignon & Xuereb 1997) • We develop activities to understand user's situations and needs (Narver & Slater 1990) • We monitor our users very often to find out what programs or activities they will need in the future (Jaworski & Kohli 1993) • We regularly analyze that our programs be valuable for users, fitting their particular situations
Donors or Resource Acquisition Orientation	• We pay close attention to various fundraising opportunities • When we find out that major donors would like us to modify the service offering, we make concerted effort to do so (Balabanis et al. 1997) • We meet our donors at least once a year to find out what causes (programs/ services) they will be interested to support in the future (Balabanis et al. 1997) • We develop diverse activities in order to attract new financial resources • We periodically review the likely effect of changes in our operating environment on donors (e.g. regulation, economy, etc) (Balabanis et al. 1997)
Volunteer and Employee Orientation	• When recruiting new employees or volunteers, we search for people who potentially identify with our values and mission • We undertake different actions in order to maintain motivated our human resource (employees and volunteers) • We pay close attention to our human resources' perceptions and suggestions in aspects such as services improvement, development of new activities, and users' changes
Collaborative Orientation	• We frequently monitor strengths and weaknesses of potential collaborators for provision of services • We work together with other organizations recognized as partners in serving end users • We are looking strategically for convenient partnerships in order to obtain resources or lobbying • We maintain good relationships with some organizations that could become future collaborators
Learning and Social Entrepreneurship	• We systematically review our services, activities and programs in order to improve them • We usually analyze and learn about both our successful and unsuccessful experiences • The board discusses and compares to other NPOs' strategies and programs (Narver & Slater 1990) • Our policies and procedures encourage an atmosphere of learning about funders, boards, etc (United way 2005, http://national.unitedway.org/) • We search for target users to whom we have an opportunity to offer competent services (Gatignon & Xuereb 1997)
Inter-functional Coordination	• We systematically organize meetings between the different functions to analyze information (Lado et al. 1998) • We are functionally integrated in the planning and development of strategies and programs (Narver & Slater 1990) • All of our organization functions are integrated in serving the needs of our users (Gatignon & Xuereb 1997) • When members of several departments get together, tensions frequently run high Reversed (Voss & Voss 2000) • We monitor very often that strategic activities be contributing to our main goals

TABLE 2 (continued)

NONPROFIT ORGANIZATIONAL PERFORMANCE							
Beneficiary or Recipient Response							
- Customer perception of services in terms of personal impact, quality of the work, access to the service, etc. (Fishel 2004) - Members' overall satisfaction level (Chan & Chau 1998) - Percentage of clients/ users who continuously participate/ attend/ use our services - How well the center is preparing my child to enter kindergarten? (Selden & Sowa 2004)							
Financial Flexibility and Resource acquisition							
- We have sufficient funding to support all programs and services this year - In the case we lose one funder, we could manage it and continue developing our usual activities. (Tuckman & Chang 1991) - We have assets that could be sold out if we are facing strong shocks (Tuckman & Chang 1991) - Stability of revenue acquisition (Sowa et al. 2004) - Growth in resources (Gainer & Padanyi 2002) - Variation of financial subsidy received this year compared to a year ago (Chan & Chau 1998)							
Job Satisfaction of Volunteers and Employees							
- In general, I am satisfied with my job (Selden & Sowa 2004) - I intend to work here at least two more years (Selden & Sowa 2004) - I like to work for this NPO, because I believe in its mission and values (Brown & Yoshioka 2003) - Most days I am enthusiastic about my work (Asian Productivity org. 2002, http://www.apo-tokyo.org/) - In general, employees and volunteers are proud to work for this NPO (Jaworski & Kohli 1993) - Our people has little or no commitment to the organization Reversed (Jaworski & Kohli 1993) - Employees and volunteers feel that their future is intimately linked to this NPO (Jaworski & Kohli 1993)							
Responsiveness Assessment							
- Overall, to what extent is the manager performing his/ her job the way you would like it to be performed? (Tsui 1984) - To what extent has he/ she met your expectations in his/ her managerial roles and responsibilities? (Tsui 1984) - If you had your way, to what extent would you change the manner in which he/ she is doing the job? Reversed (Tsui 1984)							
Long-Term Outcomes							
- Considering the most recent environmental changes, we can claim that in three years we will still be providing the same or improved services - In which percentage you consider the NPO is achieving the main goals set for this year? - Rate the NPO last year's overall performance related to its mission							
Program Outputs and Intermediate Outcomes							
Program-specific: measurement of distinct program objectives (outputs and intermediate outcomes): - e.g. debt counseling: number of counseling interviews, number of requests for a respite - e.g. long-term care: share of care recipients suffering from pressure ulcers; satisfaction of care clients and/or satisfaction of immediate family - e.g. probation assistance: number of counseling interviews, share of re-offenders among clients - e.g. Job -training services: share of participants who successfully complete a course; share of participants leaving unemployment after 3 and after 6 months							
Organizational Efficiency							
- Public support/ fundraising expenses; Total revenue/ fundraising expenses (Ritchie & Kolodinsky 2003) - Total contributions/ total revenue; Direct public support/ total assets (Ritchie & Kolodinsky 2003) - Total revenue/ total expenses; Total contributions/ total expenses (Ritchie & Kolodinsky 2003) - Administration/ total costs - Variation in amount of volunteers compared to last year - Variation in costs for unit of output compared to last year							

DISCUSSION

In this paper we followed suggestions of various authors to develop appropriate adaptations of both the market orientation (MO) and the organizational performance (OP) concept for the nonprofit context. We first reviewed those concepts as well as six empirical studies that ap-

plied them to nonprofit organizations. In the following, we proposed a conceptual framework comprising the construct of societal orientation (SO), a performance construct for nonprofit organizations (NPOP) and the relationship between both constructs. Finally, we also suggested items supporting the empirical study of SO and NPOP.

The MO philosophy adapted to the nonprofit context is called Societal Orientation. This name was suggested by Liao, Foreman and Sargeant (2001). Our contribution in this matter was to advance the literature by accounting for particularities of the NPO context (with particular consideration of NPOs in the social services and health care field) and proposing the formal definition for SO and its six behavioral components. Regarding nonprofit organizational performance, we made an attempt to integrate research efforts and proposed seven NPOP dimensions that offer a rounded picture for assessing competent results. Criteria for measuring each one can be developed considering the multiple constituencies' interests and the particular NPO context.

The last purpose of this paper was to propose a conceptual framework that relates SO and NPOP. The section *The Nonprofit Organizational Performance Construct and Framework Propositions* presents the postulated relationships. The general proposition is that societally oriented nonprofits are those taking care of beneficiaries, donors, volunteers and employees, searching for convenient partnerships, learning from experience, and working in a coordinated way. These nonprofits are expected to be more effective and efficient in various organizational aspects, giving response to their distinct stakeholders' expectations.

Although the proposed framework needs to be tested, practitioners can benefit from our conceptual work. The most important suggestion is to be aware of the multiple aspects that contribute to better performance (SO components), and the multiple facets that manifest integrative organizational performance (NPOP dimensions). Table 2 suggests items useful for assessing how well a NPO is doing in these particular aspects.

As with any proposal of a conceptual framework, there is a need to validate its applicability to the NPO context. To test whether the framework is appropriate and useful, some aspects must be addressed, among them the design/adaptation of measures to specific environments, definition of specific relationships between variables, and the identification of moderating and mediating variables for specific sub-sectors. In line with other research, all components and dimensions must be studied individually. This responds to NPOs' multiple constituencies and their variety of interests. We did not suggest any hierarchy among the various SO components or NPOP dimensions since such a hierarchy

can hardly be deducted from theory. Yet, we assume that the components and dimensions suggested interact with each other so that organizations should pay attention to all of them.

Empirical research on the SO components measurement is in a more advanced state than empirical work on NPO performance. We encourage researchers to work on the development and refinement of measures for each of the proposed NPOP dimensions; in particular, the two dimensions we suggested are composed of various facets (organizational efficiency, and program outputs/intermediate outcomes). In testing the framework researchers could focus on specific activities or sub-sectors, allowing for the improvement of the framework and suggesting suitable control variables for each one. Another interesting line of research is to study causal relationships between the various SO components and NPOP dimensions. Interrelationships are very likely to occur among performance dimensions.

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